Quillwood Credit Partners

Origination and credit | Internal working paper

Meridian Logistics Estate Indicative Term Sheet

A$88.0M senior secured investment term facility, Truganina VIC

Prepared for Arcadia Industrial Group Pty Ltd

Prepared by Quillwood Credit Partners

Version 1.0, 27 March 2026

Non-binding and subject to credit approval

Reference: QCP-TS-2026-0327-MLE

Date: 27 March 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

Confidential. Prepared for the addressee only and not to be relied on by any other party.

1. Important notice

This indicative term sheet is a summary of the terms on which Quillwood Credit Partners (the Lender) would consider providing finance. It is non-binding and creates no obligation to lend or to pay fees. Any offer is subject to credit approval, satisfactory due diligence, final valuation and legal documentation prepared by Marlowe & Finch Lawyers or the Lender's nominated counsel.

Borrower	Meridian Logistics Estate Pty Ltd
ABN	98 445 227 419
Registered office	Level 14, 400 Collins Street, Melbourne VIC 3000
Sponsor	Arcadia Industrial Group Pty Ltd (trading as Arcadia Industrial)
Property	Meridian Logistics Estate, 45 Meridian Boulevard, Truganina VIC 3029
Arranger	Kerrigan Hale Capital Pty Ltd
Date	27 March 2026
Prepared by	Quillwood Credit Partners

Transaction details

2. Asset and borrower

The Borrower is a single-purpose entity that owns a completed industrial and logistics estate in Melbourne's western corridor, about 22 kilometres from the CBD. The estate has four warehouses with 64,000 sqm of gross lettable area on a 13.3 hectare site. It is 97.5% occupied by seven tenants, with a weighted average lease expiry of 6.1 years by income and fixed annual escalations averaging 3.5%. The largest tenant contributes 31.0% of passing income. Harcourt Pryor Valuers Pty Ltd assessed the as is market value at A$150.5M (A$2,352 per sqm) on a 5.25% capitalisation rate.

3. Facility terms

Term	Indicative position
Facility	Senior secured investment term facility, interest only
Limit	A$88.0M
Tenor	60 months, bullet repayment at maturity
Margin	3 month BBSW plus 2.35% per annum
Upfront fee	1.00% of the limit (A$0.88M)
Undrawn fee	0.60% per annum on undrawn amounts
Hedging	Minimum 70% of drawn debt hedged for 3 years

Key commercial terms, indicative and subject to credit approval

Purpose and indicative uses

Use of funds	A$M
Upfront fee	0.88
Minor capital works, vacant tenancy	1.60
Refinance of construction and bridging facilities, costs and interest reserve	85.52
Total	**88.00**

Indicative uses, final split to be confirmed at drawdown

4. Security

- First registered mortgage over the estate.
- General security deed over all present and after acquired property of the Borrower.
- Assignment of rents, leases and insurances, and a mortgagee's interest noted on all policies.
- Subordination of all sponsor and related party loans, and a step-in and priority deed for the Arcadia Asset Services Pty Ltd management agreement.
- Limited guarantee and equity undertaking from Arcadia Industrial Group Pty Ltd, scope to be agreed.

5. Financial covenants

Covenant	Level	Current
Loan to value ratio	Maximum 60.0%	58.5%
Interest cover ratio	Minimum 1.30x	1.43x
Weighted average lease expiry	Minimum 4.0 years	6.1 years
Occupancy	Minimum 90.0%	97.5%

Tested quarterly, with valuations at least annually. Levels remain indicative.

Headroom on the loan to value covenant is limited. A 50 basis point softening in the capitalisation rate would reduce value by around A$14M and lift the ratio to approximately 64.5%. The Lender may require a cash sweep or an equity cure in that event.

6. Conditions precedent

- Credit approval and satisfactory legal, tax and environmental due diligence, including the EPA Victoria operating conditions for 24/7 use.
- Updated valuation addressed to the Lender and an independent review of the Danforth Quantity Surveyors Pty Ltd report dated 27 February 2026.
- Executed interest rate hedging for at least 70% of drawn debt.
- Certified tenant leases, estoppels from the top three tenants and evidence of insurance.
- Funding of the interest reserve and a capital works budget for the 1,600 sqm vacant tenancy.
- Reporting undertakings: quarterly management accounts and audited annual accounts from Whitlock Brennan Chartered Accountants.

7. Key risks considered

The top three tenants contribute 68.0% of income, and 30% of drawn debt is unhedged. The 2031 and 2032 expiries represent 24% of income, and the estate is a single asset managed by a related party. These points will be tested in credit approval and may lead to changes in pricing, covenants or security.

8. Acknowledgement

Issued by	Quillwood Credit Partners, 27 March 2026
Addressed to	Callum Rayner, Director and CEO; Priya Forsyth, Director and CFO
Validity	Indicative only, open for acceptance for 30 days
Accepted for Borrower	Name, signature and date

Issue and acknowledgement block